

25STCV19495 25STCV19495

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Case Number: 25STCV19495 Hearing Date: June 23, 2026 Dept: 517

Plaintiffs Armida Corral

and Aleksander Blagojevic sued

Defendant General

Motors, LLC ("Defendant"). Plaintiffs'

claims arise out of their purchase of a motor vehicle that Defendant

manufactured and distributed ("the Subject Vehicle"). Defendant has demurred to the claims in the Plaintiffs'

First Amended Complaint ("the FAC") for breach of the implied warranty of

merchantability under the Song-Beverly Consumer Warranty Act ("the SBA") and

for common law fraudulent inducement-concealment. The Court is sustaining the demurrer with

leave to amend on the ground that both the implied warranty claim and the fraud

claim are barred by the applicable statutes of limitations.

Plaintiffs shall file

and serve a Second Amended Complaint within 45 days of this order. The

Court is continuing the case management conference that was on calendar today

to January 26, 2027 at 8:30 a.m.

Implied Warranty Claim

Defendant argues in the

demurrer that Plaintiffs' claim for breach of the implied warranty of

merchantability under the SBA is barred by the applicable statute of

limitations. The Court agrees.

“Unlike express

warranties, which are basically contractual in nature, the implied warranty of

merchantability arises by operation of law.”

(Hauter v. Zogarts 1975) 14 Cal.3d 104, 117.) Under the SBA, “[t]he duration of an the

implied warranty of merchantability. . . shall be coextensive in duration with

an express warranty which accompanies the consumer goods, provided the duration

of the express warranty is reasonable; but in no event shall such implied

warranty have a duration of less than 60 days nor more than one year following

the sale of new consumer goods to a retail buyer. (Civil Code §

1791.1(c).)

The statute of

limitations on a claim for breach of an implied warranty of merchantability is

four years. (Montoya v. Ford Motor

Co. (2020) 46 Cal.App.5th 493, 495.)

Section 2725(2) of the Commercial Code states that such claims “accrue[]

when the breach occurs, regardless of the aggrieved party’s lack of knowledge

of the breach. A breach of

[implied]warranty occurs when tender of delivery is made. . . .” (Commercial Code § 2725(2).) Courts routinely have applied the tender of

delivery accrual rule of section 2725(2) of the Commercial Code to implied

warranty claims under the SBA. (Hindsman

v. General Motors LLC, No. 17-cv-05337-JSC, 2018 WL 2463113, at *14 (N.D.

Cal. June 1, 2018) [“Section 2725 provides that the cause of action accrues

when the breach occurs; that is, in the implied warranty context, when the sale

is made.”]; see also Ferris v. Ford Motor Company, Case No.

18-cv-03216-JSW, 2019 WL 1100376 at *2 (N.D. Cal. Mar. 8, 2019) [Ferris];

Philips v. Ford Motor Company, No. 14-CV-02989-LHK, 2016 WL 1745948 *13

(N.D. Cal. May 3, 2016); MacDonald v. Ford Motor Co. (N.D. Cal. 2014) 37

F.Supp.3d 1087, 1101.)

In the demurrer,

Defendant argues that, based on the allegations in the FAC, delivery of the

Subject Vehicle occurred on June 9, 2021, when the Plaintiffs entered into a

warranty contract with Defendant. purchased the Subject Vehicle. Plaintiffs initiated this action more than

four years later, on June 30, 2025. The

implied warranty claim is thus time-barred.

Plaintiffs do not

contest that June 9, 2021 was the delivery date of the Subject Vehicle. Plaintiffs argue instead that the implied

warranty claim did not accrue until they discovered the basis of the claim, and

that given this delayed discovery, the statute of limitations on the claim has

not expired. Plaintiffs' argument is

mistaken. There is no delayed-discovery

rule with respect to accrual of a claim for breach of an implied warranty. (*Cardinal Health 301, Inc. v. Tyco*

Electronics Corp. (2008) 169 Cal. App. 4th 116, 129, 134.) *Mexia v. Rinker Boat Co.* (2009) 174

Cal.App.4th 1297 is not to the contrary.

The Court of Appeal in *Mexia* stated that a defect need not be

discovered during the SBA's one-year implied warranty period to be

actionable. (*Id.* at pp.

1310-1311.) But it also said "[i]n the

case of a latent defect, a product is rendered unmerchantable, and the warranty

of merchantability is breached, by the existence of the unseen defect, not by

its subsequent discovery." (*Id.* at 1304-1305.) In short, *Mexia* does not establish a

delayed discovery rule for SBA claims for breach of the implied warranty of

merchantability that differs from the rule of section 2775.2 of the Commercial

Code. (*Ferris, supra*, 2019 WL

1100376 at *3) [interpreting what *Mexia* does, and does not, do].)

Claim for Fraudulent

Inducement – Concealment

On

the face of the FAC, Plaintiffs' claim for fraudulent inducement - concealment

is barred by the three-year of statute of limitations for fraud claims set

forth in Code of Civil Procedure section 338(d).

To

be sure, Section 338(d) states that a fraud claim "is not deemed to have

accrued until the discovery, by the aggrieved party, of the facts constituting

the fraud" This provision in Section 338(d) codifies the

"discovery rule," which "postpones accrual of a cause of action until

the plaintiff discovers, or has reason to discover, the cause of action." (Fox v. Ethicon Endo-Surgery, Inc.

(2005) 35 Cal.4th 797, 807.) In essence,

the discovery rule "delays accrual until the plaintiff has, or should

have, inquiry notice of the cause of action."

(Ibid.) This means that plaintiffs "are required to

conduct a reasonable investigation after becoming aware of an injury, and are

charged with knowledge of the information that would have been revealed by such

an investigation." (Id. at p. 808.) The limitations period begins once the

plaintiff has notice or information of circumstances to put a reasonable person

on inquiry. (Alexander v. Exxon Mobil

(2013) 219 Cal.App.4th 1236, 1251,

citation omitted). The discovery rule

imposes a pleading requirement on a party seeking the protection of the rule in

the face of a demurrer. Specifically,

“[i]n order to rely on the discovery rule for delayed accrual of a cause of

action, ‘a plaintiff whose complaint shows on its face that his claim would be

barred without the benefit of the discovery rule must specifically plead facts

to show (1) the time and manner of discovery, and (2) the inability to have

made earlier discovery despite reasonable diligence.’” (Fox, supra, 35 Cal.4th at p.

809, citation omitted.)

Plaintiffs allege in the

FAC they did not discover the basis of their fraud claim until shortly before

they filed suit; from there, Plaintiffs argue in the opposition to the demurrer

that it was only then that the statute of limitations began to run. The FAC fails, however, to allege that

Plaintiffs were unable to discover the basis of the fraud claim through the

exercise of reasonable diligence prior to that date. This failure is magnified by allegations in

the FAC that the Subject Vehicle’s manifested themselves as early as June 2022.

In light of the Court’s

determination that Plaintiffs’ fraud claim is time-barred, the Court need not

reach the other argument that Defendant made as to that claim in the notice of the demurrer, albeit not in the memorandum in support of the demurrer – namely, that the claim is barred by the economic loss rule.